Tesco PLC | Valuation Framework

Investment Banking Analyst Portfolio • FY2026 reported results and illustrative forward assumptions

Executive summary

• This project demonstrates a driver-based operating forecast, unlevered DCF, EV/EBITDA cross-check and sensitivity analysis. It is educational, not a live valuation opinion or recommendation.

Reported starting point

• Tesco FY2025/26 preliminary results reported comparable sales excluding VAT and fuel of £66,588m, adjusted operating profit of £3,152m, free cash flow of £1,957m and net debt of £10,563m.

• Company-reported growth was 4.6% for comparable sales and 0.8% for adjusted operating profit. Adjusted metrics are company-defined alternative performance measures and should not be mixed with statutory IFRS metrics without reconciliation.

Forecast and valuation method

• Sales are forecast using an editable annual growth assumption; adjusted operating profit is forecast using a margin anchored to FY2026 adjusted operating profit divided by comparable sales.

• D&A;, capex, working capital and normalized cash tax are simplified model drivers, not company guidance. UFCF is approximated as NOPAT plus D&A; less capex and incremental working-capital investment.

• The DCF discounts five annual UFCFs at an illustrative WACC and calculates terminal value using perpetual growth. The EV/EBITDA multiple is illustrative, not a sourced peer median.

Key risks and limitations

• The model is not a full statutory three-statement model and must be reconciled to the complete annual report before use.

• Retail margins and cash flows are sensitive to price competition, wage and energy costs, capex, and execution.

• DCF value is highly sensitive to WACC, terminal growth, margins and capital intensity. Lease liabilities and different adjusted metric definitions complicate peer comparisons.

Primary sources

• Tesco FY2025/26 Preliminary Results (published 16 April 2026): https://www.tescoplc.com/preliminary-results-202526

• Tesco Annual Report 2026: https://www.tescoplc.com/investors/reports-results-and-presentations/annual-report-2026

Disclaimer

• For educational and recruiting-portfolio purposes only. Not investment advice. Share count, reference price, WACC, terminal growth, exit multiple and forecast drivers are illustrative and should be updated using dated, sourced inputs.